

Bonsai PACKAGE

The stimulus initiative is good news for some sectors but falls short of overall expectations

Cheaper Goods



STEP CENVAT cut by 4 per cent for all products, levy on export of iron ore lumps cut to 5 per cent

IMPACT Auto, consumer goods cheaper, exports to be competitive

"This move will certainly help in increasing demand."

RAVI SANTHANAM,
MD, HINDUSTAN MOTORS

Infrastructure Push



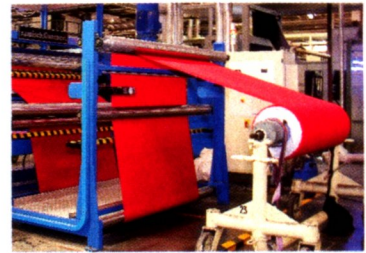
STEP Higher spend, IIFCL to raise Rs 10,000 crore via tax-free bonds for big-tag projects

IMPACT Increased demand good news for cement, steel sectors

"Will boost demand but will not unfreeze stalled projects."

SAJJAN JINDAL,
PRESIDENT, ASSOCHAM

Export Sops



STEP Cheaper funds and Rs 7,000-crore package for SMEs, Rs 1,400 crore for textiles

IMPACT Will provide easier liquidity for labour-intensive exporters

"Will help SMEs but recession is deeper and calls for more."

GANESH GUPTA,
PRESIDENT, FIEO

Without doubt, the economy is facing its worst multi-sector slowdown ever. It is not just India but economies across the world that are caught in the deluge of the meltdown. Ever since the US, Japan and China pushed through their formulas to kickstart the economy, policy makers in India have been debating the content and magnitude of a stimulus package that is required.

Last week, the finance ministry finally unveiled a bonsai version. The central theme is to get momentum into the economy. So CENVAT has been cut by 4 per cent, infrastructure spending ramped up by Rs 20,000 crore, exporters offered more credit and PSU banks will come up with a

package for low-cost (Rs 5-20 lakh) housing. The expectation: cheaper goods would get the middle class to spend, expenditure on infrastructure would spur demand for steel and cement and low-cost housing could prime the economy besides creating jobs. The size of the package: Rs 30,000 crore or just over \$6 billion.

Reactions have been mixed. Auto and consumer goods makers are happy while others are not so pleased. Hindustan Motors MD Ravi Santhanam says most car makers have passed on the excise benefit to consumers. Ganesh Gupta, president of the Federation of Indian Export Organisations says additional liquidity will help SMEs but is unlikely to help

reach the \$200-billion export target. Steel and cement makers see it as a relief but as Assocham president Sajjan Jindal says, a broader package would have helped "infrastructure projects that are on hold because of the liquidity crunch". He expected the package to be worth Rs 70,000 crore. His view finds echoes. The consensus is that the package is too small to combat the slowdown. CII chief and ICICI MD K.V. Kamath puts it in perspective. "A package targeting 2 per cent of the GDP, approximately Rs 100,000 crore (or \$20 billion) would have been a real booster." Obviously, the Government is on a learning curve.

Nivedita Mukherjee